

DISTRIBUTION NOTICE NO. 2
OF
CORNERSTONE REAL ESTATE PARTNERS FUND V, LP

Quarterly Operating Income Distribution

Distribution Date: December 15, 2025

Total Distribution Amount: \$30,000,000

Source: Net Rental Income — Q4 2025 Portfolio Operations

Dated as of December 15, 2025

DISTRIBUTION SUMMARY

The Fund is making its second distribution to Limited Partners, representing the quarterly distribution of net operating income from the Fund's portfolio of 12 properties. This distribution is classified as ordinary income for US tax purposes.

Distribution Type: Operating Income (Rental Income Distribution)

Distribution Date: December 15, 2025

Total Amount: \$30,000,000

This distribution represents net rental income after deducting property operating expenses, property management fees, debt service (interest only), and fund-level expenses. No capital gains are included in this distribution.

Income Source	Gross Amount	Less Expenses	Net Distributable
Portfolio Rental Income (12 properties)	\$48,500,000		
Less: Property Operating Expenses		(\$9,200,000)	
Less: Property Management Fees (3.5%)		(\$1,697,500)	
Less: Debt Service — Interest		(\$4,800,000)	
Less: Fund-Level Expenses		(\$1,300,000)	
Less: Management Fee (Q4 2025)		(\$1,502,500)	
Net Distributable Amount			\$30,000,000

WITHHOLDING TAX TREATMENT

This distribution includes ordinary income derived from US real property operations. The following withholding tax treatment applies:

US Federal: No federal backup withholding applies to distributions to US Limited Partners that have provided a valid W-9. Tax-exempt US investors are exempt from all federal withholding.

State Composite Withholding: Several states in which Portfolio Properties are located require composite withholding on distributions to non-resident partners. The applicable withholding rates by state are included in the schedule below.

Note on Tax-Exempt Investors: Limited Partners that have certified their tax-exempt status under IRC Section 501(c)(3) or that are governmental plans under IRC Section 414(d) should generally be exempt from withholding on ordinary income distributions.

NOTE ON IMPUTATION CREDITS AND RWT (OFFSHORE FEEDER)

Certain investors in the Offshore Feeder may be entitled to imputation credits for dividends received from Australian or New Zealand REIT subsidiaries held indirectly through the Fund's portfolio. RWT (Resident Withholding Tax) calculations for AU/NZ investors are set forth in the Offshore Feeder's companion distribution notice.

New Zealand investors: RWT has been calculated at 28% (company rate) on NZ-sourced income.

Australian investors: Franking credits attach to Australian-sourced trust distributions at the applicable corporate tax rate of 30%.

Note: Imputation credits and RWT calculations reflect income from a minor New Zealand industrial property held indirectly. The US-NZ tax treaty provides for reduced withholding on certain income categories.

LP DISTRIBUTION SCHEDULE — DOMESTIC FUND

The following table shows each domestic LP's gross distribution, withholding (if applicable), and net wire amount:

Partner	Gross Amount	Withheld	Net Wire	Tax Status
Pacific Coast PERS	\$6,086,739	\$80,954	\$6,005,785	EXEMPT*
National Corporate Employees Pension Trust	\$4,057,826	\$0	\$4,057,826	EXEMPT
Heartland University Endowment Fund	\$3,043,370	\$0	\$3,043,370	EXEMPT
Atlantic Life Insurance Company	\$4,057,826	\$53,969	\$4,003,857	TAXABLE
Wellington Family Partners, LP	\$2,028,913	\$26,985	\$2,001,928	TAXABLE
Diversified Alternatives Fund of Funds III, LP	\$2,434,696	\$32,381	\$2,402,315	TAXABLE
Cascade Charitable Foundation	\$1,217,348	\$0	\$1,217,348	EXEMPT
TechCorp Strategic Ventures, LLC	\$1,014,457	\$13,492	\$1,000,965	TAXABLE
Jonathan R. Blackwell	\$405,783	\$5,397	\$400,386	TAXABLE
Cornerstone Property Management V, LLC (GP)	\$5,653,042	\$0	\$5,653,042	N/A
TOTAL	\$30,000,000	\$213,178	\$29,786,822	

* TAX-EXEMPT WITHHOLDING NOTE

* Pacific Coast PERS has been subject to state composite withholding on this distribution. As a government pension plan, Pacific Coast PERS may be exempt from state withholding obligations in certain jurisdictions. Pacific Coast PERS should consult its tax advisor and submit an exemption certificate to the Fund if applicable.

INCOME CHARACTERIZATION FOR TAX PURPOSES

This distribution is expected to be characterized as follows for US federal income tax purposes (subject to final K-1 allocation):

Income Category	Estimated Amount	% of Total
Ordinary Rental Income	\$27,600,000	92.0%
Section 1231 Gain (Depreciation Recapture)	\$1,500,000	5.0%
Qualified Dividend Income	\$600,000	2.0%
Return of Capital	\$300,000	1.0%
TOTAL	\$30,000,000	100.0%

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date first written above.

Cornerstone Property Management V, LLC

Name: David Nakamura

Title: Managing Partner

Date: December 15, 2025

This document is generated for demonstration and testing purposes only. It does not constitute financial, legal, or tax advice and should not be used as a substitute for consultation with qualified professionals.